

5-4 Financial Statements and Closing Entries for a Retail Business

Although merchandising transactions affect the balance sheet in reporting inventory, they primarily affect the income statement. An income statement for a retail business is normally prepared using either a *multiple-step* or *single-step* format.

Objective 4 - Describe and illustrate the financial statements and closing entries for a retail business.

The financial statements for **NetSolutions** are illustrated in **Exhibits 12, 13, and 14**. These financial statements were prepared from the adjusted trial balance shown in **Exhibit 11**.

Exhibit 12

Multiple-Step Income Statement

NetSolutions Income Statement For the Year Ended December 31, 20Y8			
Sales.....			\$ 708,255
Cost of goods sold			<u>(520,305)</u>
Gross profit.....			\$ 187,950
Operating expenses:			
Selling expenses:			
Sales salaries expense	\$53,430		
Advertising expense.....	10,860		
Depreciation expense—store equipment .	3,100		
Delivery expense.....	2,800		
Miscellaneous selling expense	<u>630</u>		
Total selling expenses		\$70,820	
Administrative expenses:			
Office salaries expense	\$21,020		
Rent expense	8,100		
Depreciation expense—office equipment.	2,490		
Insurance expense	1,910		
Office supplies expense	610		
Miscellaneous administrative expense	<u>760</u>		
Total administrative expenses.....		<u>34,890</u>	
Total operating expenses			<u>(105,710)</u>
Operating income			\$ 82,240
Other revenue and expense:			
Rent revenue		\$ 600	
Interest expense		<u>(2,440)</u>	<u>(1,840)</u>
Net income.....			<u>\$ 80,400</u>

Exhibit 13**Single-Step Income Statement**

NetSolutions Income Statement For the Year Ended December 31, 20Y8		
Revenues:		
Sales		\$ 708,255
Rent revenue		<u>600</u>
Total revenues		\$ 708,855
Expenses:		
Cost of goods sold	\$520,305	
Selling expenses	70,820	
Administrative expenses	34,890	
Interest expense	<u>2,440</u>	
Total expenses		<u>(628,455)</u>
Net income		<u>\$ 80,400</u>

Exhibit 14**Statement of Stockholders' Equity for Retail Business**

NetSolutions Statement of Stockholders' Equity For the Year Ended December 31, 20Y8			
	Common Stock	Retained Earnings	Total
Balances, January 1, 20Y8	\$25,000	\$123,800	\$148,800
Issued common stock	5,000		5,000
Net income		80,400	80,400
Dividends		<u>(18,000)</u>	<u>(18,000)</u>
Balances, December 31, 20Y8	<u>\$30,000</u>	<u>\$186,200</u>	<u>\$216,200</u>

Chapter 5: Accounting for Retail Businesses: 5-4 Financial Statements and Closing Entries for a Retail Business

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